

spending, so it was easy to get her debt level up this high. So far she had been able to handle the minimum payments by working her part-time waitress job, but now these payments were more than she could handle. She responded by increasing her hours at the restaurant, which left less time to devote to her schoolwork.

By the time summer break arrived, Christi returned home with poor grades and a large debt. She advised her credit card companies of her new address in order to receive her bills over the summer. Her spending habits would have remained a secret if it hadn't been for her brother. He saw a credit card bill arrive one day for Christi and promptly opened it. He wasted no time in telling Christi's parents about the amount of money that she owed.

Her mother and father were livid. They were extremely disappointed and Christi had to endure numerous lectures on her poor money management. But in the end, they paid off her credit cards since they didn't want Christi's credit affected negatively. By the time Christi returned to college in the fall, they had her sincere promise to not apply for any more credit cards. If she did, her parents said she would be on her own to pay them off.

Christi might argue her story had a "happy ending." Her parents paid off her debt and her problem went away. Typically though, when the debtor has someone else pay off their debt, they never learn the lesson. Therefore, the behavior that got them into debt in the first place will probably be repeated. Christi could easily continue her same old spending habits and believe that despite her parents' warning, they would bail her out again if she got into trouble. By relying on her parents to be her financial guardians, Christi could have a difficult time becoming financially independent.

A much happier ending would have been for Christi to have taken a loan from her parents and remain accountable for

